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COMMENTARY

Top Ten Global Risks for 2026

The top global risks of 2026 show an ever more unstable world

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Artificial Intelligence, Grand Strategy

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Every year since 2017, we have given our predictions for the greatest threats facing the world. If some of the top risks this year seem to echo those we anticipated for 2025, it is not that they are static, but that the peril continues, without reaching a denouement. The risks of a Trump presidency we feared have come faster and thicker than we envisioned for Gaza, Ukraine, and climate. China and Taiwan are not among the top geopolitical risks, as we judge 2026 is unlikely to see tensions rise to that level in the aftermath of the [summit](#) between U.S. President Donald Trump and Chinese President Xi Jinping.

The world remains in a protracted interregnum, still unsettled, fragmenting, but no less contested. The National Security Strategy [makes](#) the U.S. retreat from primacy official: “The days of the United States propping up the entire world order like Atlas are over.” The old neoliberal rules-based architecture is decomposing, power diffusing, and much of the world is searching for new multilateral arrangements to act as a buffer against three predatory, revisionist major powers.

Their efforts raise the question of whether it is possible to have a stable multilateral system without a hegemon. The world is approaching an inflection point, where discontinuity — war, financial crisis, or natural disaster — buries the post-Cold War era and ushers in a new, unknowable order.

With three years yet in his term, Trump is already the most consequential and transformative president since FDR, what some would call a world-historical figure — one who alters the course of

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The Risks

Trump's Economic Morass

Probability:



Many [economists](#) have already sounded the alarm that all the preconditions are present for economic meltdown. Financial assets are massively overvalued with unbounded [artificial intelligence](#) fueling 40% of U.S. GDP growth and 80% of stock market growth even though productivity gains by companies experimenting with AI are so far elusive.

Some experts are beginning to doubt whether AI can really go beyond machine learning to the artificial general intelligence of Silicon Valley dreams, charging that current AI models can handle simple problems but “fundamentally [break down](#) on complex tasks,” thinking less, not more, as the difficulty rises. A stock market crash could wipe out \$35 trillion in consumer wealth, [according](#) to former International Monetary Fund Deputy Director Gita Gopinath. Institutionalizing, yet lightly regulating, cryptocurrency adds [risk uncertainty](#).

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be the shield it has been without the U.S. taking drastic action to cut spending and raise taxes.

The Dissolution of Order

Probability:



Italian Marxist philosopher Antonio Gramsci [summed up](#) the 1930s with his famous phrase, “The old world is dying, and the new world struggles to be born: now is the time of monsters.”

It’s a description apt for the interregnum between today’s dying liberal order and whatever is to come. It’s not just Trump trashing the ancien régime: Most of the other great powers are out to kill it.

Russian President Vladimir Putin was first out of the gate, waging war on Ukraine to reassert Russia’s interests against NATO. Claiming regional dominance, Xi wants to avenge China’s past century of humiliation, while the global south seeks a greater decision-making role for itself in global affairs. Europe appears paralyzed by its nostalgia for the liberal order, but Russia’s invasion of Ukraine and Trump’s weakening of U.S. security guarantees as stated in his recent [National Security Strategy](#) are forcing Europe to arm itself for a realpolitik world.

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seeking simple answers in a complicated, fast-changing world. However powerful they are, both states and individuals see themselves as victims. Xi has publicly [complained](#) about U.S. suppression and encirclement in an attempt to thwart China's rise. Putin [blames](#) the U.S. and West for starting the war in Ukraine with NATO enlargement, coupled with U.S. efforts to fuel color revolutions in post-Soviet states and never-ending sanctions. [Trump](#) and other U.S. leaders have [blamed China](#) for cheating on trade, stealing U.S. intellectual property, and foisting COVID on the rest of the world. Gramsci's interregnum ended with one of the deadliest wars ever. Such an eventuality can't be ruled out, but for the moment, Trump and other leaders remain fearful of a slide into major state-on-state war.

US Pivot to Western Hemisphere

Probability:



Trump asserted his own corollary to the Monroe Doctrine in his National Security Strategy, pairing it with his threats against cartels in Mexico and regime change in Venezuela — and steep tariffs and sanctions against Colombia and [Cuba](#) may be next.

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The risk is that in four years, most Latin American states will have distanced themselves from Washington and moved even closer to China. In focusing too much on Latin America, the U.S. will ignore its other interests and allies. Should Trump put troops on the ground in Venezuela to topple President Nicolás Maduro, the U.S. could get trapped in an escalating military engagement that would be unpopular at home. Blocking Venezuela's oil exports — the lifeblood of its economy — will likely lead to Maduro's downfall and to rampant inflation and shortages of food and other essentials, devastating the poor and middle classes. Trump appears to have no plan to help Venezuelans cope with the political instability should Maduro be ousted.

Third Nuclear Era

Probability:



2026 begins with the Bulletin of the Atomic Scientists' [Doomsday Clock](#) moved to just 89 seconds to midnight. Great-power competition is driving new nuclear risks, as existing powers such as the

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Though the major nuclear powers have not tested nuclear weapons since 1990, Trump has [ordered](#) new nuclear tests if others such as Russia and China test. China is [expanding](#) its test site at Lop Nur. Moscow's [threats](#) of tactical nuclear use in Ukraine, a lowering of the nuclear threshold, suggested the feasibility of [limited nuclear war](#). This risk extends to lesser nuclear states — North Korea, which has massively [built up](#) its missile and nuclear force capabilities, and India and Pakistan, whose nuclear [rivalry](#) continues.

Faced with volatile security predicaments in the Middle East and East Asia and doubts about U.S. reliability, recent U.S. deals — [nuclear submarines](#) for South Korea, a [US-Saudi](#) civil nuclear program — raise concerns. Both may involve reprocessing nuclear fuel with which those countries could join Japan as virtual nuclear powers. South Korea [is debating](#) the virtues of nuclear weapons, and Japan [is also rethinking](#) its nuclear allergy. What could go wrong?

Gen Z Rebellion

Probability:



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clashes, ranging from civil wars to terrorist attacks. All have large unskilled youth bulges with few employment opportunities. On a more basic level, almost 600 million sub-Saharan Africans lack access to electricity.

African states are also heavily burdened by foreign debt — \$746 billion cumulatively. And government debt in sub-Saharan Africa averages around 60% of countries' gross domestic product. Approximately 57% of Africans live in countries that spend more on external debt servicing than education or health care.

These youthful nations must find a path to development amid what some have dubbed a global polycrisis — a cascading set of intersecting problems. Those challenges include a growing North-South economic and technological divide; declining aid; and navigating global financial negotiation to manage deepening debt issues, climate change, food insecurity, disease, and (not least) the risks to jobs from artificial intelligence.

As the Gen Z drama unfolds, its impact will ripple across the world — whether resulting in prosperity, where governments find the means to educate and employ this cohort; or, where they do not, poverty, terrorism, disease, civil wars, and mass migration.

An Empowered Putin After Ukraine

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continent and blaming it for Ukraine's resistance to a ceasefire. So far, Putin has not moved an inch to water down his terms. In the worst case, Trump will tire and dump the Ukraine problem on the Europeans, who won't be able to turn the tide and don't have much influence with the Kremlin.

With Russian forces advancing into Ukraine, Putin could become even greedier and less interested in settling. Russia is reportedly [stockpiling](#) long-range missiles that could devastate Ukraine. At best, Kyiv would impede a complete victory for Moscow, but it can't achieve a just peace without strong support from a united NATO. A peace settlement that endures and averts another conflict needs strong support from the United States. And although Trump says he wants a ceasefire, his real goal appears to be bilateral trade and investment deals with Russia. With U.S. and European leaders at loggerheads, Russia appears to have achieved its long-term goal of splitting the West and emasculating NATO.

Climate Decline

Probability:




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The EU's silence partly reflects the power shift in the real world. One analyst told the BBC, linking the emerging power of the Brazil, Russia, India, China, South Africa coalition to the decline of the EU. Even within the EU, there are concerns that meeting its aggressive 2040 emissions reduction target will aggravate the group's [weakening economic competitiveness](#).

At the UN climate conference, the goal of \$120 billion a year in climate financing for poor countries was [pushed back five years](#), from the initial suggested date of 2030 to 2035. This increases the climate risks for poorer countries already highly vulnerable to droughts, floods, and higher temperatures inhibiting agricultural production and spreading disease. Meanwhile, the World Meteorological Organization [forecast](#) a 70% chance that five-year average warming for 2025-29 will be more than 1.5 degrees Celsius (up from a 47 chance for 2024-28 in last year's report).

China's transformation into a [renewables giant](#) is the only positive note on climate this year. The country accounts for 74% of all large-scale solar and wind capacity under construction, compared to 5.9% for the United States. Not missing an opportunity, China has capitalized on wind, solar, and battery technologies, which constituted more than a quarter of its economic growth in 2024.

A Persistently Dangerous Middle East

Probability:

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In the West Bank, Israeli settler violence and military operations continue to fuel tensions. Getting to the second phase of the Gaza peace plan and [charting](#) a “credible pathway to Palestinian self-determination and statehood” appears distant.

Other destabilizing factors in the region are Israeli attacks on Lebanon, meant to prevent a resurgence of Hezbollah, and Syria, threatening the country’s political transition. And Iran, facing chaos and potential renewed war, may be an even more explosive risk. The country’s economy is [cratering](#) due to [intensified sanctions](#) over its nuclear program. Tehran is also facing a [water crisis](#) after five years of drought and mismanaged agricultural and economic policies. Iran’s president [warned](#) in November that Tehran might need to be evacuated if the drought continued. These predicaments are compounded by an ailing, often absent, 86-year-old supreme leader, Ali Khamenei, whose power is [waning](#). The line of succession is uncertain — and could spur unrest or a coup by the Islamic Revolutionary Guard Corps.

Against this backdrop, the International Atomic Energy Agency says Iran still has [enriched uranium](#), despite U.S. and Israeli bombings, and there are [signs](#) Tehran is continuing its nuclear program. It [reneged](#) on an agreement with the agency to resume external monitoring of its nuclear activities, and it has [rejected](#) U.S. offers of renewed nuclear talks (though it hints new talks are possible). Renewed Israeli and/or U.S. bombing of Iran is a looming prospect.

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But the real problem may be that AI turns out to be much less that promised — or threatened. Even if the technology is transformative in the long run, the short-term race for AI dominance poses financial risks that may bite in 2026. The investing boom in the technology is [fueling fears](#) of a bubble that will soon burst while much of the rest of the U.S. economy sputters. In 2024, global Big Tech invested more than \$400 billion in data centers (of which there are now [more than 5,000](#) in the United States). And that investment is projected to increase massively by 2029, to \$1.1 trillion (and one prediction expects [\\$2.8 trillion](#) on AI-related infrastructure as a whole). Increasingly, though, this investment is through debt. OpenAI doesn't [expect profits](#) until 2030; Anthropic hopes to break even by 2028.

Nor are many AI pilots reporting [return on their initiatives](#). The gap between massive investment and a dearth of revenues is sparking fears of a crash reminiscent of, if not worse than, the 2000 implosion of the dot-com bubble. There is also a [gap](#) between AI energy needs and available electricity, despite newly built power plants, leaving some data centers idle and driving up [electricity prices](#).

Risks don't end there. Some Americans, [including](#) Nvidia CEO Jensen Huang, think that China is winning the AI innovation race. China's open-source AI approach, as its popular DeepSeek chatbot demonstrated, results in models cheaper and [just as effective](#), though less technologically advanced,

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beyond the threshold of gray zone activities.

Trump's tariffs and Chinese manufacturing overcapacity pose [dual threats](#) to the Asian economy, undermining regional production networks in South and Southeast Asia that are based on a "China +1" strategy — a diversification scheme in which investors move factories out of China but use Chinese components. Though it encouraged such moves during the first Trump administration, the United States is [now seeking](#) to cut China out of these supply chains altogether.

Trump has [signed trade deals](#) with four member states of the Association of Southeast Asian Nations (ASEAN), but the United States has yet to clarify final tariff levels. They will depend on how Trump decides the [rules of origin](#) — guidelines that determine, for instance, whether goods using Chinese components that were processed into final products in Vietnam (or other nations) and exported added enough local value to be tariffed at Vietnamese rates, or if they are designated as transshipped goods facing higher Chinese level tariffs.

Current tariffs are already taking a toll on Asia, but if the United States requires a high level (say, 50% or more) of value added to avoid transshipment tariffs, Southeast Asia's economy could be hit hard, particularly if a flood of Chinese surplus goods shuts down ASEAN factories.

The locus of security conflict risks is South Asia. India-Pakistan tensions after recent [terrorist attacks](#) highlight a combustible situation. Both sides [claimed victory](#) after skirmishes this

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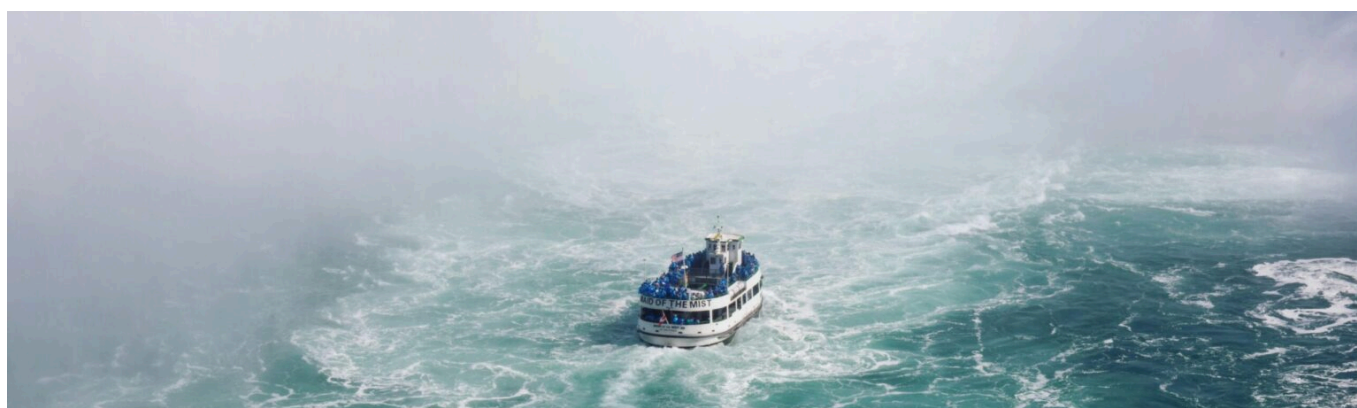
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